Annex III. Debt Sustainability Analysis[1/2]

Lesotho: Joint Bank-Fund Debt Sustainability Analysis	
Risk of external debt distress	*Moderate*
Overall risk of debt distress	*Moderate*
Granularity in the risk rating	*Some space*
Application of judgement	*No*

Lesotho's risk of external debt distress has been revised from "low" in the 2017 Article IV to "moderate," reflecting weaker GDP growth projections, expanded debt coverage, larger deficits, and the inclusion of large contingent liabilities. The overall risk of debt distress is also assessed to be moderate. The moderate risk tool suggests some space to absorb shocks. The results of the DSA highlight the importance of addressing underfunding of the pension fund, preserving a cautious debt management strategy, and developing the domestic debt market. Fiscal consolidation, particularly addressing the high public-sector wage bill, are needed to reduce external imbalances and mitigate vulnerabilities.

Public Debt Coverage

1. Lesotho's public debt data covers the central government, the central bank, and publicly-guaranteed debts for SOEs (Table 1). Debt coverage is similar to the previous DSA, but the tailored contingent liability shock captures the unaccounted subsectors of the public sector. Specifically, the contingent liability shock captures shortfalls of the pension fund, estimated to be between 10.3 and 20.7 percent of GDP,[3] and applies the default 2 percent GDP shocks to capture non-guaranteed SOE debt since comprehensive estimates of non-guaranteed SOE debt are not available. The contingent liability stress test also includes 5 percent of GDP for a financial market shock and 35 percent of the PPP capital stock, which is estimated to be 3.2 percent of GDP. External debt is defined based on currency-criterion as there is no foreign holdings of local-currency debt. Domestic arrears are included in the debt stock.

[1] Prepared by the staffs of the International Monetary Fund (IMF) and the International Development Association (IDA). Approved by David Robinson (AFR), Nathan Porter (SPR), and Paloma Anos Casero (IDA).

[2] This DSA updates the previous Joint DSA dated February 14, 2018 (IMF Country Report No. 18/54). This DSA applies the revised joint Bank-Fund Debt Sustainability Framework for Low-Income Countries. Under this framework, Lesotho's debt carrying capacity remains at medium based on the composite indicator consistent of the 2018 October WEO and the 2017 CPIA.

[3] These estimates are based on two valuations conducted by actuarial firms, with the larger gap calculated on a solvency basis, the smaller on a funding basis.

Table 1. Lesotho: Coverage of Public Sector Debt and Design of the Contingent Liability Stress Test

	Subsectors of the public sector	Sub-sectors covered
1	Central government	X
2	State and local government	
3	Other elements in the general government	
4	o/w: Social security fund	
5	o/w: Extra budgetary funds (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	X
8	Non-guaranteed SOE debt	

	The country's coverage of public debt	The central government, central bank, government-guaranteed debt		
		Default	Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	0 percent of GDP	20.7	
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2 percent of GDP	2.0	
4	PPP	35 percent of PPP stock	1.1	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5 percent of GDP	5.0	
	Total (2+3+4+5) (in percent of GDP)		28.8	

1/ The default shock of 2 Percent of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is ready included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to b negotiable, a country team may reduce this to 0 percent.

Background

2. Lesotho's total public debt increased to 38.8 percent of GDP in FY 2017/18 from 37.6 percent (Table 2).[4] The increase was observed in both domestic and external borrowing and was partially offset by growth in nominal GDP and appreciation of the rand. External debt continues to account for most of total debt (79.1 percent) and is largely owed to multilateral creditors. Domestic debt grew from 4.5 to 8.2 percent of GDP in FY 2017/18 as authorities issued new bonds of M400 million and accumulated arrears of M700 million. The gradual increase in the share of domestic debt, by tapping into the large pool of assets held by the pension fund and insurance companies, is a goal of the authorities for the medium-term.[5]

Assumptions

3. The macroeconomic framework is broadly in line with the previous DSA, though GDP growth is now slightly lower (Table 3). Real GDP growth for the medium term has been revised downwards from an average of 3.1 percent to 2.6 percent, reflecting delays in the second phase of the Lesotho Highlands Water Project (LHWP-II) and in implementing fiscal consolidation. Long run real GDP growth is revised downwards to around 3 percent, reflecting recent evidence of tighter domestic constraints and a more adverse external environment. Inflation projections are slightly higher at around 5.5 percent in line with monetary developments in South Africa. A primary fiscal deficit of 0.8 percent on average is expected for the medium term based on the consolidatory stance envisaged in the FY 2019/20 budget. Over the long run, fiscal deficit is now projected to average 0.4 percent of GDP as opposed to a 0.6 percent surplus in the previous DSA, reflecting higher capital expenditures. On the external sector, weaker export

[4] The fiscal year runs from April 1 to March 31.

[5] A medium-term Debt Management Strategy (DMS) is under development and is expected to be completed and released with the FY 2019/20 budget.

growth and the secular decline in remittances from South Africa are expected to deteriorate the current account balance slightly over the medium term with respect to the previous DSA, with the large deficit still reflecting the high import component of the LHWP-II. Over the long run, the current account balance is expected to remain negative.

4. Debt assumptions take account of the latest information on new borrowing. The government has recently signed a semi-concessional loan of M1.4 billion with the Export-Import Bank of China to build a road of 92km connecting Ha Mpiti and Sehlabathebe. Signature of a USD 20 million World Bank loan in the context of the Agriculture Productivity Program for Southern Africa is expected in the next few months.

5. External borrowing at concessional terms is expected to decline moderately, while remaining significant. Concessionality is assumed to be lower than in the previous DSA, reflecting the latest terms Lesotho has obtained. Furthermore, as Lesotho grows and graduates from some concessional borrowing sources and the domestic market develops, concessionality is expected to further decline over time. However, concessional external borrowing will remain critical for financing large investment projects, as was discussed in the previous DSA. In line with the authorities' medium-term goals, the development of the domestic market is assumed to continue. By FY 2038/39, domestic borrowing is expected to account for around one-third of total debt.

6. The realism of the macroeconomic framework is confirmed by several checks (Figures 3 and 4). The path for external debt accumulation remains largely unchanged with respect to the previous DSA. The current account deficits, which have in the recent past been partly funded by the drawdown of international reserves, are expected to be financed in the medium-term with the support of capital transfers, in particular those financing the LHWP-II (which is administered by the Lesotho Highlands Development Authority, which is not consolidated with the fiscus). With respect to the previous DSA, higher public debt is expected for the medium term as GDP growth has been lowered, while a larger domestic debt component will result in higher interest rates. The DSA projects a significant shift in borrowing assumptions towards less concessional external borrowing and more domestic debt, reflecting the likely availability of financing. The fiscal multiplier is assumed to be small due to high import content, and the negative impact of fiscal consolidation on GDP growth is expected to be partially offset by the beginning of the LHWP-II (unless the project experiences further delays) and positive developments in mining and textiles. Real exchange rate depreciation is also expected to contribute to the projected increase of the public debt. Unexpected changes in debt have not been significant over the past 5 years.

Table 2. Lesotho: Stock of Outstanding Debt, 2013/14–2017/18

	2013/14	2014/15	2015/16	2016/17	2017/18
			(in million USD)		
Domestic Debt	111	120	120	104	214
External Debt	828	825	841	849	899
Multilateral	724	692	709	727	775
IDA	308	273	292	295	331
ADF	191	167	167	159	165
EIB	67	102	95	127	135
IMF	79	68	70	65	61
Other	78	83	85	82	83
Bilateral	98	129	132	123	124
China EXIM Bank	43	57	54	50	49
Kuwait Fund	25	29	29	27	26
Saudi Fund	14	23	23	23	22
Abu Dhabi Fund	3	10	16	15	17
India EXIM Bank	7	7	6	6	5
Other	6	4	3	3	6
Commercial	6	5	0	0	0
Total	**939**	**945**	**961**	**953**	**1,114**
			(in percent of GDP)		
Domestic Debt	4.0	4.4	4.6	4.5	8.2
External Debt	34.5	34.5	38.7	33.1	30.7
Multilateral	30.2	28.9	32.6	28.3	26.4
IDA	12.9	11.4	13.4	11.5	11.3
ADF	8.0	7.0	7.7	6.2	5.6
EIB	2.8	4.2	4.4	5.0	4.6
IMF	3.3	2.8	3.2	2.5	2.1
Other	3.3	3.4	3.9	3.2	2.8
Bilateral	4.1	5.4	6.1	4.8	4.2
China EXIM Bank	1.8	2.4	2.5	1.9	1.7
Kuwait Fund	1.1	1.2	1.3	1.1	0.9
Saudi Fund	0.6	0.9	1.1	0.9	0.7
Abu Dhabi Fund	0.1	0.4	0.7	0.6	0.6
India EXIM Bank	0.3	0.3	0.3	0.2	0.2
Other	0.3	0.2	0.2	0.1	0.2
Commercial	0.2	0.2	0.0	0.0	0.0
Total	**38.5**	**38.8**	**43.2**	**37.6**	**38.8**

Sources: Country authorities and staff estimates.
Note: Domestic Debt includes arrears and guarantees.

Table 3. Lesotho: Macroeconomic Assumptions

	2017 DSA 2017-22	2018 DSA 2018-23	2017 DSA 2023-37	2018 DSA 2024-38
Real GDP Growth (Percent)	3.1	2.5	3.4	2.9
Inflation (Percent)	5.5	5.5	5.1	5.5
Primary Deficit (Percent of GDP)	1.6	0.8	-0.6	0.4
USD Export Growth (Percent)	7.9	6.5	7.3	6.3
USD Import Growth (Percent)	8.6	5.3	4.6	5.2
Non-interest Current Account Balance (Percent of GDP)	-8.3	-9.6	-2.1	-2.7
Net FDI (negative = inflow)	-0.7	-1.6	-0.7	-1.7
Grant element of new public sector borrowing (in percent)	42.3	26.9	42.3	20.8
External Debt (Percent of GDP)	34.5	35.7	30.3	34.5
Public Sector Debt (Percent of GDP)	42.6	50.2	40.8	51.0

Sources: IMF Country Report No. 18/54 and staffs estimates and projections.

Country Classification and Determination of Scenario Stress Tests

7. Lesotho has a medium debt carrying capacity (Table 4). Debt carrying capacity is determined by a composite indicator that includes the World Bank's Country Policy and Institutional Assessment score, world economic growth, and Lesotho's real growth rate, import coverage of reserves, and remittances. Lesotho's debt carrying capacity is assessed to be medium.

8. Lesotho does not qualify for other tailored stress tests. Apart from the contingent liability tailored shock described above, Lesotho's economic characteristics do not trigger any of the tailored stress tests on natural disasters, commodity prices, and/or market financing risk module.

Table 4. Lesotho: Debt Carrying Capacity

Debt Carrying Capacity and Thresholds

Country	Lesotho
Country Code	666
Debt Carrying Capacity	Medium

Final	Classification based on current vintage	Classification based on the previous vintage	Classification based on the two previous vintages
Medium	Medium 2.94	Medium 2.90	Medium 3.33

Note: Until the April 2019 WEO vintage is released, the two previous vintages ago classification and corresponding score are based solely on the CPIA per the previous framework.

Applicable thresholds

APPLICABLE	
EXTERNAL debt burden thresholds	
PV of debt in % of	
Exports	180
GDP	40
Debt service in % of	
Exports	15
Revenue	18

APPLICABLE	
TOTAL public debt benchmark	
PV of total public debt in percent of GDP	55

Calculation of the CI Index

Components	Coefficients (A)	10-year average values (B)	CI Score components (A*B) = (C)	Contribution of components
CPIA	0.385	3.375	1.30	44%
Real growth rate (in percent)	2.719	2.141	0.06	2%
Import coverage of reserves (in percent)	4.052	37.032	1.50	51%
Import coverage of reserves^2 (in percent)	-3.990	13.714	-0.55	-19%
Remittances (in percent)	2.022	7.423	0.15	5%
World economic growth (in percent)	13.520	3.579	0.48	16%
CI Score			2.94	100%
CI rating			Medium	

New framework			
Cut-off values			
Weak	CI <	2.69	
Medium	2.69	≤ CI ≤	3.05
Strong	CI >	3.05	

Reference: Thresholds by Classiciation

EXTERNAL debt burden thresholds	Weak	Medium	Strong
PV of debt in % of			
Exports	140	180	240
GDP	30	40	55
Debt service in % of			
Exports	10	15	21
Revenue	14	18	23

TOTAL public debt benchmark	Weak	Medium	Strong
PV of total public debt in percent of GDP	35	55	70

External Debt Sustainability Analysis

9. All external debt sustainability indicators remain below their corresponding thresholds in the baseline scenario (Table 5 and Figure 1).[6] In the medium term, the present value (PV) of PPG external debt-to-GDP is expected to reach a maximum of 27.4 percent by FY 2020/21 from a level of 25.0 percent in FY 2017/18. In the longer term, it is expected to increase modestly to 28.0 percent. All other indicators of external debt sustainability remain well below the thresholds.

10. Stress tests show that Lesotho's external debt vulnerabilities could emerge in the event of a realization of a contingent liabilities shock or a major shock to exports (Table 7 and Figure 1). The threshold of PV of PPG external debt-to-GDP would be breached if a large contingent liabilities shock, emerging mainly from the unfunded pension fund, were to be realized. Even absent the contingent liabilities shocks, the threshold would still be breached in the case of a large negative exports shock or other flows. All other indicators of external debt sustainability remain below the thresholds.

Overall Risk of Public Debt Distress

11. All public debt sustainability indicators remain below their corresponding thresholds in the baseline scenario (Table 6 and Figure 2). The PV of public debt-to-GDP is expected to reach a maximum of 44.4 percent by FY 2024/25 from a level of 31.0 percent in 2017/18. Afterwards, it is expected to decline gradually, stabilizing around 44.0 percent in the long term. All other indicators of public debt sustainability also remain well below the thresholds.

12. The realization of a contingent liabilities shock would expose Lesotho's public debt vulnerabilities (Table 8 and Figure 2). The threshold of PV of public debt-to-GDP would be breached in the event of a large contingent liabilities shock, as the ratio would rise to 66 percent in 2019/20. Real GDP growth, primary balance, exports, and other flows stress tests also lead to breaches. All other indicators of public debt sustainability remain below the thresholds.

13. The mechanical signal for the overall risk of public debt distress is moderate. This result reflects the moderate risk signal for PPG external debt and the public sector debt stock indicator breaching the threshold under some shocks.

Risk Rating and Vulnerabilities

14. Lesotho's risk of external debt distress has been revised from "low" to "moderate," with some space to absorb shocks. All external and public debt and debt service indicators for the baseline remain below their respective thresholds, but shocks to contingent liabilities, exports and other flows lead to breaches. The DSA results highlight the importance of addressing the financing gap at the pension fund and continuing with a cautious debt management strategy

[6] The LHWP II project is financed by capital grants, which are a key driver of the residuals.

focused on financing projects with high economic returns through concessional sources. Development of a domestic debt market would also prove critical to deal with contingent liabilities shocks.

Authorities' Views

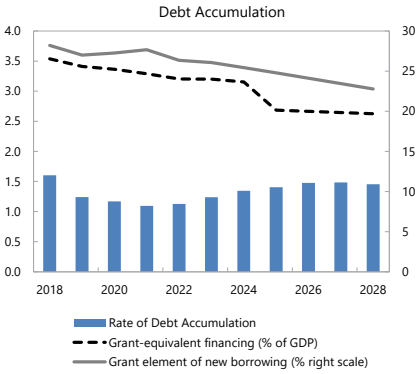
Authorities concurred with the DSA and the "moderate" risk rating. They agreed with the need to better monitor domestic contingent liabilities in order to have a comprehensive view of the debt. The authorities highlighted the need for the Debt Department and the public pension fund to agree on a strategy to address the underfunding of the latter. They also agreed that prudent debt management must continue in the medium term, in particular by pursuing financing with a significant grant element and that stronger capacity in the Cash Management Unit would support the forecasting of financing needs. Finally, authorities noted that work has begun on developing a Debt Policy Framework that will guide new decisions on guarantees, contingent liabilities, and unsolicited proposals.

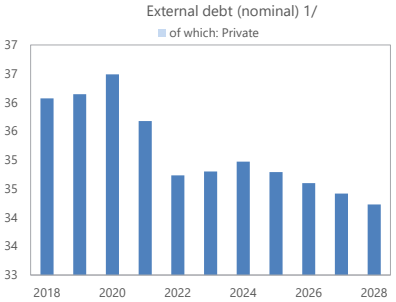
Table 5. Lesotho: External Debt Sustainability Framework, Baseline Scenario, 2017–2038

(In percent of GDP, unless otherwise indicated)

	Actual	Projections								Average 8/	
	2017	2018	2019	2020	2021	2022	2023	2028	2038	Historical	Projections
External debt (nominal) 1/	**30.7**	**36.1**	**36.1**	**36.5**	**35.7**	**34.7**	**34.8**	**34.2**	**34.4**	**32.9**	**35.2**
of which: public and publicly guaranteed (PPG)	**30.7**	**36.1**	**36.1**	**36.5**	**35.7**	**34.7**	**34.8**	**34.2**	**34.4**	**32.9**	**35.2**
Change in external debt	-2.4	5.4	0.1	0.3	-0.8	-0.9	0.1	-0.2	0.0		
Identified net debt-creating flows	**-0.1**	**6.3**	**11.5**	**3.2**	**6.2**	**12.5**	**7.0**	**1.8**	**-0.7**	**0.3**	**5.0**
Non-interest current account deficit	**4.1**	**8.2**	**13.6**	**4.1**	**8.4**	**15.0**	**8.5**	**3.7**	**1.0**	**3.4**	**6.8**
Deficit in balance of goods and services	42.0	42.1	47.8	38.8	42.4	48.3	41.8	37.1	31.7	**52.0**	**40.6**
Exports	43.7	45.3	46.6	49.7	49.9	49.8	50.9	51.6	58.5		
Imports	85.8	87.4	94.4	88.5	92.3	98.1	92.8	88.6	90.2		
Net current transfers (negative = inflow)	-24.2	-20.9	-21.6	-22.3	-21.9	-21.7	-21.6	-21.9	-20.6	**-29.5**	**-21.8**
of which: official	-19.1	-15.9	-16.5	-17.2	-16.9	-16.6	-16.5	-16.8	-15.6		
Other current account flows (negative = net inflow)	-13.7	-13.0	-12.6	-12.4	-12.1	-11.6	-11.7	-11.4	-10.1	**-19.2**	**-12.0**
Net FDI (negative = inflow)	**-1.7**	**-1.5**	**-1.7**	**-1.7**	**-1.7**	**-1.7**	**-1.7**	**-1.7**	**-1.7**	**-2.6**	**-1.6**
Endogenous debt dynamics 2/	**-2.5**	**-0.3**	**-0.4**	**0.7**	**-0.6**	**-0.8**	**0.2**	**-0.3**	**-0.1**		
Contribution from nominal interest rate	0.6	0.5	0.6	0.7	0.6	0.6	0.6	0.7	0.9		
Contribution from real GDP growth	-0.2	-0.9	-1.1	0.1	-1.3	-1.4	-0.5	-1.0	-1.0		
Contribution from price and exchange rate changes	-3.0	...	...	...	...	...	...	...	...		
Residual 3/	**-2.3**	**-0.9**	**-11.4**	**-2.8**	**-7.0**	**-13.5**	**-7.0**	**-2.0**	**0.8**	**-1.4**	**-4.7**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators											
PV of PPG external debt-to-GDP ratio	**25.0**	**26.2**	**26.9**	**27.4**	**26.8**	**26.2**	**26.4**	**26.7**	**28.0**		
PV of PPG external debt-to-exports ratio	**57.1**	**57.9**	**57.7**	**55.0**	**53.8**	**52.6**	**51.8**	**51.8**	**47.8**		
PPG debt service-to-exports ratio	**4.8**	**3.5**	**5.4**	**5.1**	**5.0**	**5.0**	**4.8**	**4.5**	**4.6**		
PPG debt service-to-revenue ratio	**5.2**	**4.0**	**6.4**	**6.4**	**6.3**	**6.3**	**6.2**	**5.6**	**6.5**		
Gross external financing need (Million of U.S. dollars)	120.9	224.3	401.1	141.3	279.8	507.3	311.6	189.9	150.1		
Key macroeconomic assumptions											
Real GDP growth (in percent)	0.5	2.9	3.1	-0.2	3.6	4.2	1.4	3.0	3.0	**3.7**	**2.6**
GDP deflator in US dollar terms (change in percent)	9.9	-1.3	-1.0	2.7	2.3	2.3	2.7	2.4	2.4	**0.4**	**1.8**
Effective interest rate (percent) 4/	2.1	1.7	1.8	1.9	1.9	1.8	1.9	2.3	2.8	**1.4**	**2.0**
Growth of exports of G&S (US dollar terms, in percent)	21.9	5.0	5.1	9.4	6.4	6.5	6.4	6.5	7.0	**3.7**	**6.0**
Growth of imports of G&S (US dollar terms, in percent)	17.8	3.4	10.2	-3.9	10.6	13.3	-1.6	5.6	5.7	**2.3**	**4.8**
Grant element of new public sector borrowing (in percent)	...	28.2	27.0	27.3	27.7	26.3	26.1	22.8	16.1	**...**	**25.7**
Government revenues (excluding grants, in percent of GDP)	40.5	38.6	39.4	40.0	39.6	39.4	39.4	41.5	41.5	**45.9**	**40.1**
Aid flows (in Million of US dollars) 5/	703.5	103.6	96.2	98.6	95.4	76.9	79.1	81.6	139.0		
Grant-equivalent financing (in percent of GDP) 6/	...	3.5	3.4	3.4	3.3	3.2	3.2	2.6	2.5	**...**	**3.1**
Grant-equivalent financing (in percent of external financing) 6/	...	64.9	58.0	58.6	59.4	58.6	57.5	51.7	45.1	**...**	**56.6**
Nominal GDP (Million of US dollars)	2,677	2,717	2,775	2,843	3,015	3,213	3,344	4,293	7,315		
Nominal dollar GDP growth	10.5	1.5	2.1	2.4	6.1	6.5	4.1	5.5	5.5	**4.1**	**4.4**
Memorandum items:											
PV of external debt 7/	25.0	26.2	26.9	27.4	26.8	26.2	26.4	26.7	28.0		
In percent of exports	57.1	57.9	57.7	55.0	53.8	52.6	51.8	51.8	47.8		
Total external debt service-to-exports ratio	4.8	3.5	5.4	5.1	5.0	5.0	4.8	4.5	4.6		
PV of PPG external debt (in Million of US dollars)	668.9	711.8	745.5	777.9	809.0	843.0	882.8	1147.1	2046.9		
(PVt-PVt-1)/GDPt-1 (in percent)		1.6	1.2	1.2	1.1	1.1	1.2	1.5	1.7		
Non-interest current account deficit that stabilizes debt ratio	6.5	2.8	13.5	3.7	9.2	15.9	8.5	3.9	1.0		

Definition of external/domestic debt	Currency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

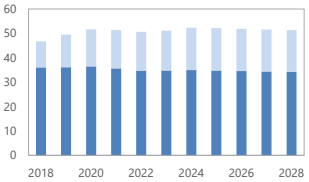
Table 6. Lesotho: Public Sector Debt Sustainability Framework, Baseline Scenario, 2017–2038

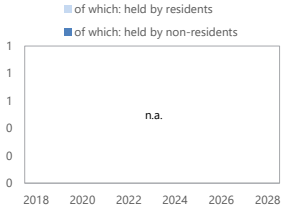
(In percent of GDP, unless otherwise indicated)

	Actual	Projections								Average 6/	
	2017	2018	2019	2020	2021	2022	2023	2028	2038	Historical	Projections
Public sector debt 1/	**38.8**	**46.8**	**49.5**	**51.7**	**51.4**	**50.7**	**51.1**	**51.4**	**50.0**	**37.7**	**51.0**
of which: external debt	**30.7**	**36.1**	**36.1**	**36.5**	**35.7**	**34.7**	**34.8**	**34.2**	**34.4**	**32.9**	**35.2**
Change in public sector debt	1.2	7.9	2.7	2.2	-0.2	-0.7	0.4	-0.2	-0.1		
Identified debt-creating flows	**-0.8**	**8.3**	**1.1**	**0.5**	**-1.3**	**-2.2**	**-1.1**	**-0.3**	**-0.1**	**0.9**	**0.3**
Primary deficit	**2.5**	**4.3**	**1.8**	**0.3**	**0.0**	**-0.7**	**-0.9**	**0.5**	**0.5**	**2.4**	**0.5**
Revenue and grants	42.9	41.3	41.9	42.4	42.0	41.8	41.7	43.4	43.4	**48.6**	**42.4**
of which: grants	2.4	2.8	2.5	2.5	2.4	2.4	2.4	1.9	1.9		
Primary (noninterest) expenditure	45.4	45.7	43.7	42.8	42.0	41.1	40.8	43.9	43.9	**50.9**	**42.9**
Automatic debt dynamics	**-3.3**	**4.0**	**-0.7**	**0.1**	**-1.3**	**-1.5**	**-0.3**	**-0.8**	**-0.6**		
Contribution from interest rate/growth differential	0.1	-1.4	-1.0	0.5	-1.3	-1.5	-0.2	-0.7	-0.5		
of which: contribution from average real interest rate	0.3	-0.3	0.4	0.4	0.5	0.6	0.5	0.8	0.9		
of which: contribution from real GDP growth	-0.2	-1.1	-1.4	0.1	-1.8	-2.1	-0.7	-1.5	-1.5		
Contribution from real exchange rate depreciation	-3.4	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**2.1**	**5.0**	**1.9**	**1.3**	**1.1**	**1.5**	**1.5**	**0.0**	**0.0**	**-1.2**	**1.3**
Sustainability indicators											
PV of public debt-to-GDP ratio 2/	**31.0**	**37.9**	**40.7**	**42.9**	**42.9**	**42.5**	**43.1**	**44.2**	**44.0**		
PV of public debt-to-revenue and grants ratio	**72.3**	**91.7**	**97.3**	**101.0**	**102.2**	**101.7**	**103.3**	**101.9**	**101.4**		
Debt service-to-revenue and grants ratio 3/	**5.6**	**14.7**	**9.5**	**9.5**	**13.2**	**12.8**	**13.0**	**14.3**	**13.4**		
Gross financing need 4/	4.9	10.4	5.8	4.4	5.5	4.6	4.5	6.7	6.3		
Key macroeconomic and fiscal assumptions											
Real GDP growth (in percent)	0.5	2.9	3.1	-0.2	3.6	4.2	1.4	3.0	3.0	**3.7**	**2.6**
Average nominal interest rate on external debt (in percent)	2.0	1.6	1.9	1.9	1.9	1.9	1.9	2.3	2.8	**1.4**	**2.0**
Average real interest rate on domestic debt (in percent)	5.6	-0.8	3.6	3.6	4.4	4.9	4.3	4.7	4.8	**0.2**	**3.9**
Real exchange rate depreciation (in percent, + indicates depreciation)	-10.4	...	...	...	...	...	...	...	...	**0.3**	**...**
Inflation rate (GDP deflator, in percent)	1.6	4.9	5.7	6.1	5.3	5.2	5.7	5.5	5.5	**6.1**	**5.5**
Growth of real primary spending (deflated by GDP deflator, in percent)	-6.1	3.6	-1.3	-2.3	1.7	2.0	0.7	3.0	3.0	**5.3**	**2.3**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	1.3	-3.6	-0.9	-1.8	0.2	0.0	-1.3	0.7	0.6	**3.4**	**-0.6**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**No**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, central bank, government-guaranteed debt. Definition of external debt is Currency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

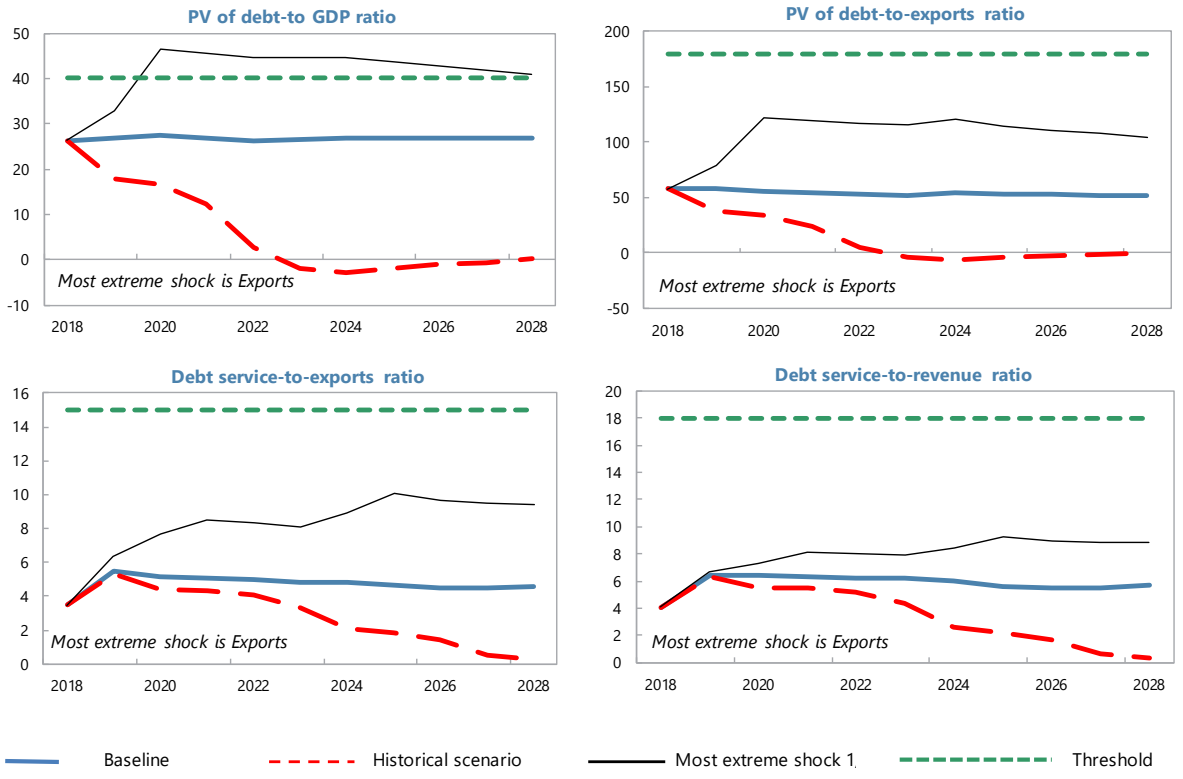
3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Figure 1. Lesotho: Indicators of Public and Publicly Guaranteed External Debt under Alternative Scenarios, 2018–2028 1/



Customization of Default Settings	Size	Interactions
Tailored Tests		
Combined CLs	Yes	
Natural Disasters	n.a.	n.a.
Commodity Prices 2/	n.a.	n.a.
Market Financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

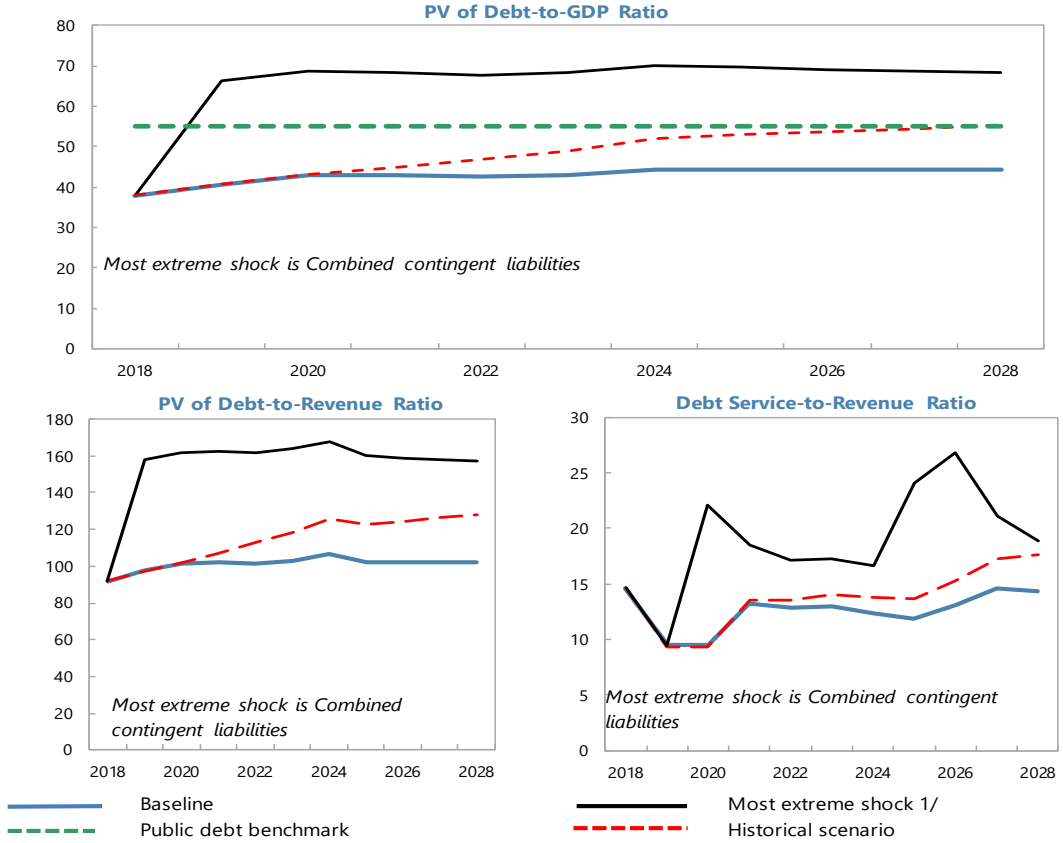
Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	2.6%	2.6%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	24	24
Avg. grace period	4	4

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2028. Stress tests with one-off breaches are also presented (if any), while these one-off breaches are deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.
2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 2. Lesotho: Indicators of Public Debt under Alternative Scenarios, 2018–2028



Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	48%	48%
Domestic medium and long-term	52%	39%
Domestic short-term	0%	13%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	2.6%	2.6%
Avg. maturity (incl. grace period)	24	24
Avg. grace period	4	4
Domestic MLT debt		
Avg. real interest rate on new borrowing	4.6%	4.6%
Avg. maturity (incl. grace period)	7	7
Avg. grace period	5	5
Domestic short-term debt		
Avg. real interest rate	1.6%	1.6%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2028. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Table 7. Lesotho: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2018–2028

(In percent)

	Projections 1/										
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
PV of debt-to GDP ratio											
Baseline	26.2	26.9	27.4	26.8	26.2	26.4	26.7	26.7	26.7	26.7	26.7
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	26	18	17	12	3	-2	-3	-2	-1	-1	0
B. Bound Tests											
B1. Real GDP growth	26	28	29	29	28	28	28	28	29	29	29
B2. Primary balance	26	29	33	33	33	33	33	34	34	35	35
B3. Exports	26	33	**46**	**45**	**44**	**45**	**45**	**44**	**43**	**42**	**41**
B4. Other flows 3/	26	33	39	39	38	38	38	37	37	36	35
B5. Depreciation	26	34	25	25	24	24	24	25	26	26	27
B6. Combination of B1-B5	26	35	37	37	36	36	36	35	35	35	34
C. Tailored Tests											
C1. Combined contingent liabilities	26	37	40	40	39	40	**40**	**42**	**43**	**44**	**44**
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	40	40	40	40	40	40	40	40	40	40	40
PV of debt-to-exports ratio											
Baseline	58	58	55	54	53	52	55	53	53	52	52
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	58	38	34	24	5	-4	-6	-4	-2	-1	0
B. Bound Tests											
B1. Real GDP growth	58	58	55	54	53	52	55	53	53	52	52
B2. Primary balance	58	63	67	66	65	65	69	67	68	68	67
B3. Exports	58	79	123	120	117	115	121	115	111	108	104
B4. Other flows 3/	58	70	79	77	76	74	78	74	72	70	68
B5. Depreciation	58	58	40	39	38	37	40	39	40	41	41
B6. Combination of B1-B5	58	77	71	84	83	81	85	81	80	78	76
C. Tailored Tests											
C1. Combined contingent liabilities	58	80	80	79	78	78	82	83	86	86	85
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	180	180	180	180	180	180	180	180	180	180	180
Debt service-to-exports ratio											
Baseline	3	5	5	5	5	5	5	5	4	4	5
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	3	5	4	4	4	3	2	2	1	1	0
B. Bound Tests											
B1. Real GDP growth	3	5	5	5	5	5	5	5	4	4	5
B2. Primary balance	3	5	5	5	5	5	6	6	6	6	6
B3. Exports	3	6	8	8	8	8	9	10	10	10	9
B4. Other flows 3/	3	5	6	6	6	5	6	6	6	6	6
B5. Depreciation	3	5	5	5	4	4	4	3	3	3	4
B6. Combination of B1-B5	3	6	7	7	7	6	7	7	7	7	7
C. Tailored Tests											
C1. Combined contingent liabilities	3	5	6	6	6	6	6	5	5	5	6
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	15	15	15	15	15	15	15	15	15	15	15
Debt service-to-revenue ratio											
Baseline	4	6	6	6	6	6	6	6	5	6	6
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	4	6	5	5	5	4	3	2	2	1	0
B. Bound Tests											
B1. Real GDP growth	4	7	7	7	7	7	6	6	6	6	6
B2. Primary balance	4	6	7	7	7	7	7	7	7	7	7
B3. Exports	4	7	7	8	8	8	8	9	9	9	9
B4. Other flows 3/	4	6	7	7	7	7	8	8	8	8	8
B5. Depreciation	4	8	8	7	7	7	7	5	5	5	6
B6. Combination of B1-B5	4	7	7	7	7	7	8	7	7	7	7
C. Tailored Tests											
C1. Combined contingent liabilities	4	6	7	7	7	7	7	7	7	7	7
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	18	18	18	18	18	18	18	18	18	18	18

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 8. Lesotho: Sensitivity Analysis for Key Indicators of Public Debt, 2018–2028

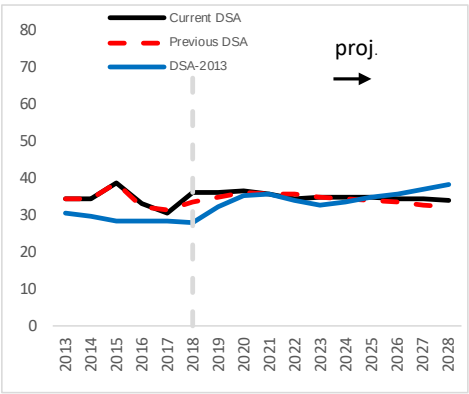
	Projections 1/										
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
PV of Debt-to-GDP Ratio											
Baseline	38	41	43	43	43	43	44	44	44	44	44
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	38	41	43	45	47	49	52	53	54	55	**55**
B. Bound Tests											
B1. Real GDP growth	38	43	49	52	53	**56**	**60**	**62**	**64**	**67**	**69**
B2. Primary balance	38	46	**56**	**56**	**55**	**56**	**58**	**57**	**57**	**57**	**57**
B3. Exports	38	46	**59**	**59**	**58**	**59**	**60**	**59**	**58**	**57**	**56**
B4. Other flows 3/	38	47	55	55	54	55	**56**	**55**	54	54	53
B5. Depreciation	38	44	43	41	38	36	35	32	30	28	25
B6. Combination of B1-B5	38	43	47	44	43	43	44	44	44	43	42
C. Tailored Tests											
C1. Combined contingent liabilities	38	**66**	**69**	**68**	**68**	**68**	**70**	**70**	**69**	**69**	**68**
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Public debt benchmark	55	55	55	55	55	55	55	55	55	55	55
PV of Debt-to-Revenue Ratio											
Baseline	92	97	101	102	102	103	107	102	102	102	102
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	92	98	102	107	113	118	126	122	124	126	128
B. Bound Tests											
B1. Real GDP growth	92	103	116	122	127	134	143	143	148	153	158
B2. Primary balance	92	111	132	133	132	134	138	132	132	131	130
B3. Exports	92	109	139	140	139	141	144	136	133	131	129
B4. Other flows 3/	92	112	130	130	129	131	134	127	125	123	122
B5. Depreciation	92	107	103	98	91	87	84	75	69	64	59
B6. Combination of B1-B5	92	103	111	104	102	103	106	102	101	99	98
C. Tailored Tests											
C1. Combined contingent liabilities	92	158	162	163	162	164	168	160	159	158	157
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	15	9	10	13	13	13	12	12	13	15	14
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	15	9	9	14	14	14	14	14	15	17	18
B. Bound Tests											
B1. Real GDP growth	15	10	11	15	15	16	16	16	19	21	22
B2. Primary balance	15	9	13	18	15	15	15	17	21	21	18
B3. Exports	15	9	10	14	14	14	14	15	16	17	17
B4. Other flows 3/	15	9	10	14	14	14	14	14	15	17	16
B5. Depreciation	15	10	11	13	13	13	12	11	11	12	12
B6. Combination of B1-B5	15	9	9	15	13	13	13	12	15	16	14
C. Tailored Tests											
C1. Combined contingent liabilities	15	9	22	19	17	17	17	24	27	21	19
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.

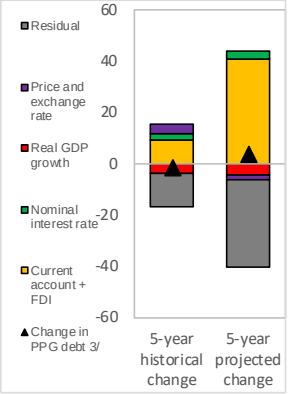
Figure 3. Lesotho: Drivers of Debt Dynamics – Baseline Scenario

External debt

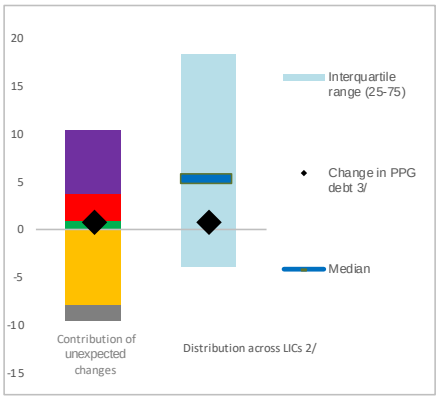
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

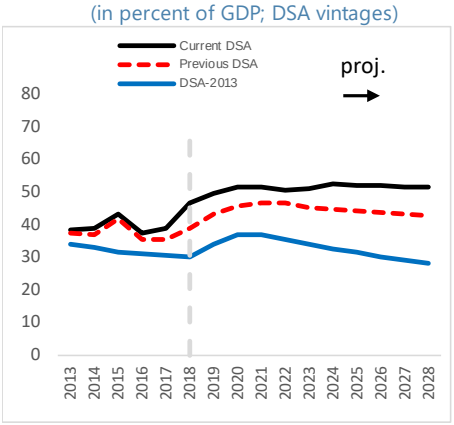


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

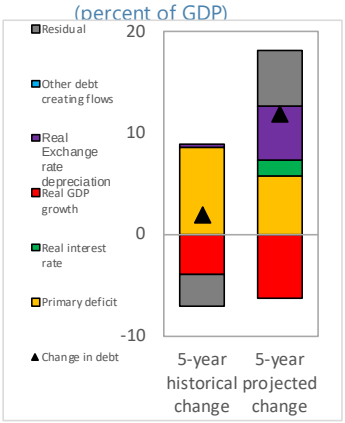


Public debt

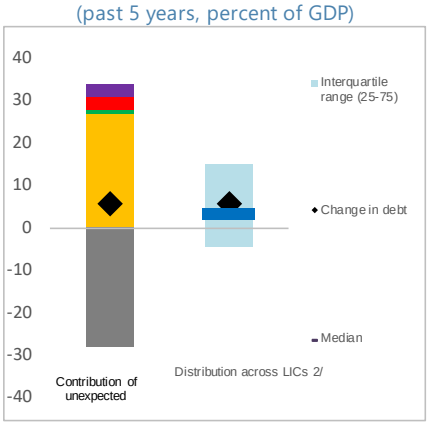
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)



Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



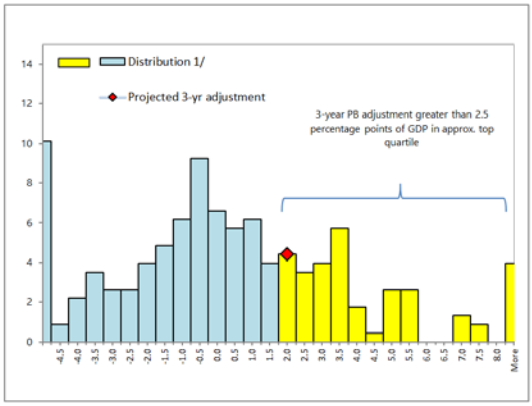
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private eternal debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

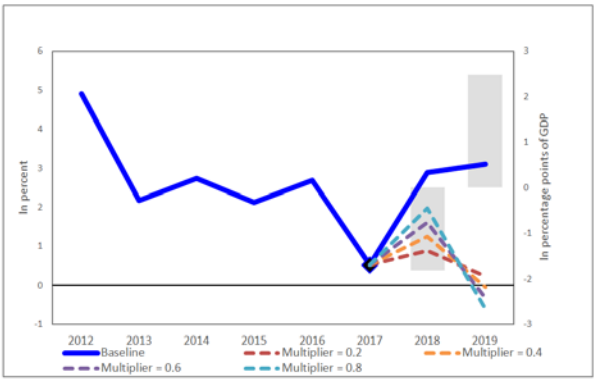
Figure 4. Lesotho: Realism Tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



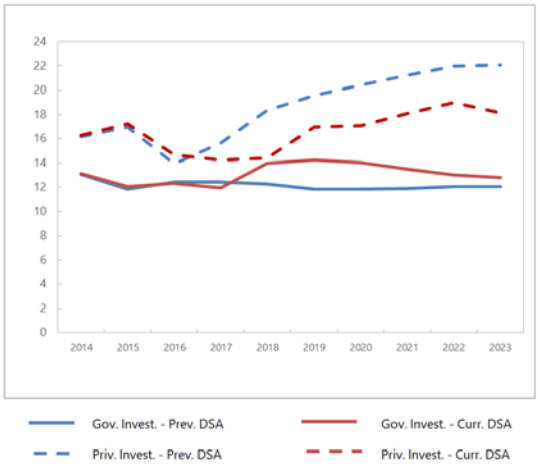
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(percent of GDP)



Contribution to Real GDP growth
(percent, 5-year average)

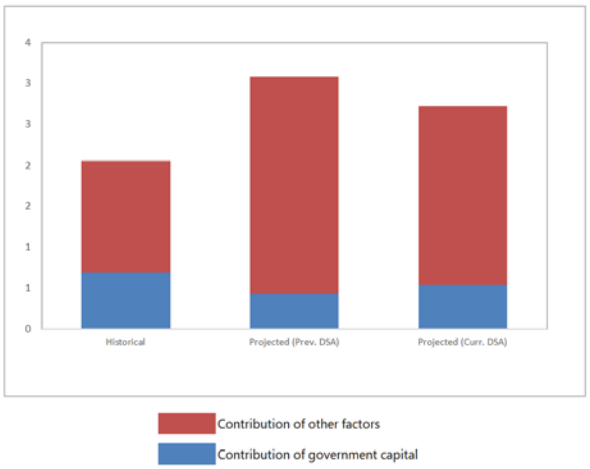
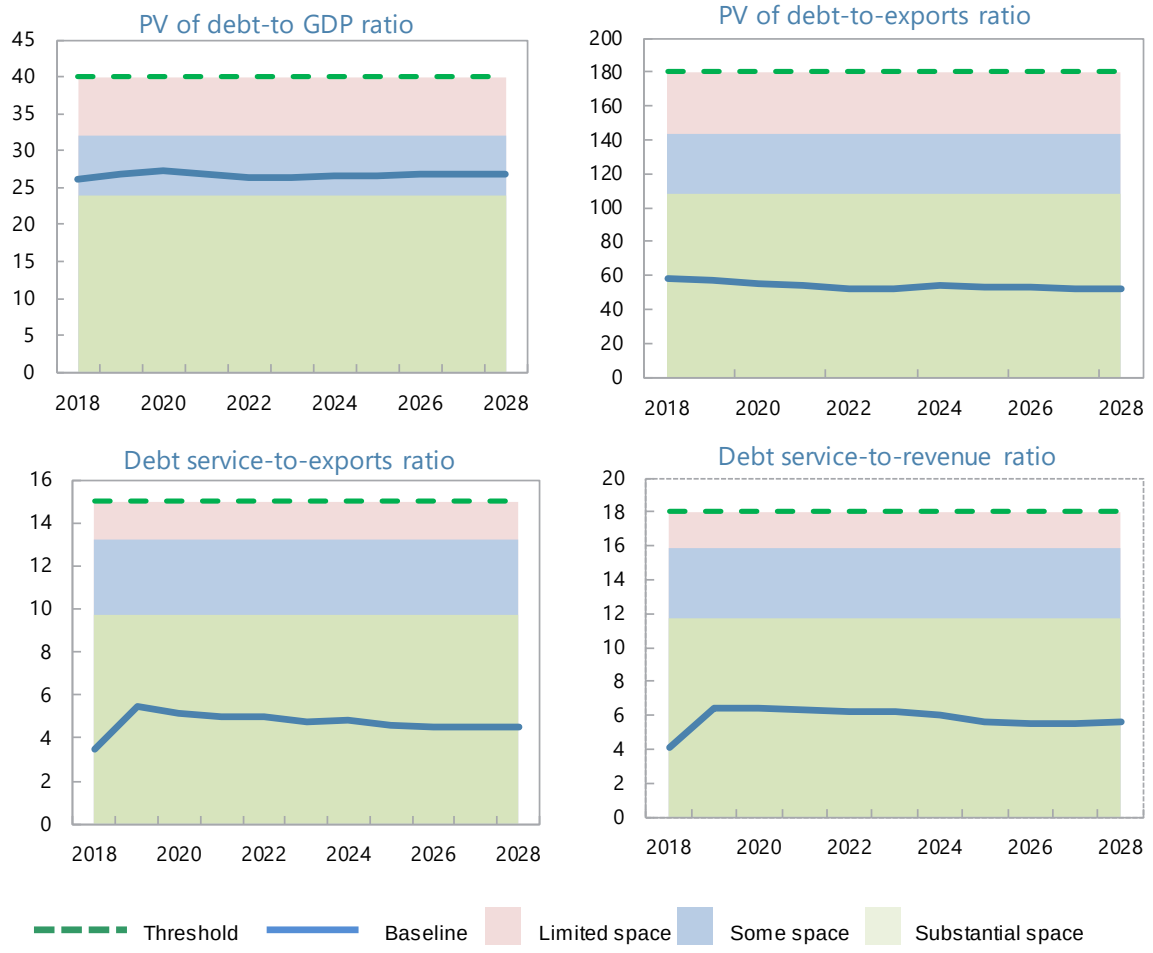


Figure 5. Lesotho: Qualification of the Moderate Category, 2018–2028 1/



Sources: Country authorities and staff estimates and projections.

1/ For the PV debt/GDP and PV debt/exports threshols, x is 20 percentand y is 40 percent. For debt service/Exports and debt service/revenue thresholds, x is 12 percent and y is 35 percent.